

Indian MF industry have witnessed a fivefold jump in the past 10 years.

Looking forward to the next 25 years: The Government of India has already taken significant policy measures that will act as enablers in the long run. Manufacturing prowess, a vibrant start-up ecosystem, a young and employable workforce and massive digitalisation are some of the key levers for India to unleash itself in the global arena.

On the back of this, India would eventually graduate to become one of the superpowers in the world, participating in global growth and providing leadership. In fact, there is a high probability for India to get back its past glory of being a high per capita income country, a status it used to enjoy in early 18th century. This might reinstate India as a major player in global commerce and trade. So, what does that mean from the macroeconomic and stock market perspective?

The cumulative impact of economic development can bring inflation and interest rates to lower single digits. As a result, the lending rate will remain low and keep the cost of capital low, making borrowing very affordable. This will further drive growth and enable huge investments in the country by businesses.

As India's capital market attracts the attention of the world, India's forex reserves can increase by about five times, offering two to three years of import cover. India has also taken many initiatives in the area of ESG. It is well-positioned to attain its net zero targets and meet the sustainable development goals. Increased green energy capacity, transition into electric vehicles, technology upgrades across sectors, multiple national-level programmes for affordable housing, environment and education are some of the measures taken towards meeting these goals. All these augur

well for the country's march to becoming a multi-trillion-dollar economy as we near the 100th year of India's independence. Alongside, the Indian capital markets, too, would march towards a similar size or even more. Besides that, MFs are set to enhance household wealth and financial inclusion.

With rising incomes and increasing aspirations for a higher standard of living, MFs as a financial instrument will play an integral part in enhancing household wealth. One can also expect greater financial inclusion with increased market penetration of financial products. In fact, in the next 25 years, every household in our country will have an MF folio and participate in India's growth story. Even the fixed-income segment is expected to mature further. MFs have always played a significant role in the evolution of the bond market and in supporting economic growth by providing necessary capital to the public and private sectors. Increased economic activity will mean increased capital requirements, which will deepen the bond market to support productive businesses and assets.

Believing in long-term investing as a principle will be the main force driving MF investing rather than investing based on returns and products. Solution-based investing will become the key investment mantra of the entire country. The role of financial advisors will also increase significantly, and with the rise in wealth, the presence and number of wealth advisors will also increase. We will have a wealth specialist in every location whose main objective will be to serve the financial needs of the growing Indian middle class population. **BT**

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